

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 13-05

**Amendments to Regulations Governing Ocean Transportation Intermediary
Licensing and Financial Responsibility Requirements, and General Duties**

Advanced Notice of Proposed Rulemaking

Comments of Tropical Shipping & Construction Company Limited

Pursuant to the Advanced Notice of Proposed Rulemaking ("ANPR"), Tropical Shipping and Construction Company Limited ("Tropical"),¹ through its counsel, Neal Mayer of Hoppel, Mayer & Coleman, respectfully submits the following comments for consideration by the Federal Maritime Commission ("FMC" or "Commission"):

As the Commission is well aware, the Shipping Act of 1984, as amended, and codified, (the "Act"), is the only significant regulation of ocean transportation intermediaries ("OTIs") anywhere in the world. In fact, even OTIs that provide service in the offshore domestic trades of the United States are unregulated. Initially, these facts beg the question as to what justification exists (at a time of tight budgets and desire for more limited regulation) for the FMC to undertake what appears to be significant additional and increased regulation of OTIs that will only result in additional unnecessary burdens on the maritime industry. The ANPR constitutes significant, burdensome and harmful over-regulation of OTIs and the ocean common carriers with whom they act as shippers.²

¹ Tropical is an ocean common carrier that owns and operates vessels between and among the Port of Palm Beach, Florida and ports in the Bahamas and the Caribbean.

² In addition to the fact that the Commission imposes extremely complex regulations, it aggressively enforces these regulations and assesses penalties for non-compliance with such regulations. It would seem that the more the industry is regulated the more the industry is fined for non-compliance with these regulations. From Tropical's perspective, this regulation causes it, as an ocean common carrier, significant annual cost to assure that if it does business with an entity that appears to be an OTI it is certain that the entity has published a tariff and posted a surety bond with the FMC. This means that persons who may solely be purchasing

Tropical could comment on a large number of concerns that it has with the proposed re-regulation of OTIs, but will restrict itself to commenting on two issues presented by the ANPR: Sections 515.23 and 515.27.

Section 515.23

The FMC is proposing that the surety posted by OTIs with the FMC not be available to satisfy the claims of common carriers until all claims of shippers and consignees are first satisfied.

As stated in the ANPR:

Section 515.23(c) and (d) create three tiers of payment priorities for claims the financial responsibility provider finds valid: (1) shipper and consignee claims; (2) claims by common carriers, ports, terminals, and other third party creditors with respect to claims arising out of OTI activities; and (3) claims by the Commission under the Shipping Act. Claims in tier (1) must be satisfied before claims in tier (2) are paid, with tier (3) being paid only after claims in tiers (1) and (2) are satisfied. (ANPR at 22.) (Emphasis added.)

The Commission's sole basis for this proposal is reference to two occurrences in which the surety bonds of OTIs were subject to multiple claims and where the surety companies paid off early claimants before they knew of all the additional claims that were asserted. In light of the fact that there are approximately 5,900 non-vessel operating common carriers ("NVOCCs") who are licensed by or registered with the FMC, the two situations cited by the Commission, an infinitesimal percentage, approximately .0334 hundredths of 1%, fails to establish a factual basis to impose on the entire industry the proposed limitations on accessing surety bonds. Tropical respectfully submits that this proposal is unwarranted and unnecessary.

As an initial point, Tropical notes that without ocean common carriers, OTIs would not exist. No OTI shipments could move without ocean common carrier services. The Commission seems to imply throughout the ANPR that NVOCCs are not financially responsible and, at the same time, the FMC would ask that the ocean common carriers take a greater risk as to this implied lack of financial responsibility

agents, for example, could appear to be OTIs when in fact they probably do not meet the definition of common carrier that is in the Act. Tropical does not have this burden in respect of its service to ports in the U.S. Virgin Islands and thus has first-hand experience as to dealing with both regulated and unregulated OTIs.

by its proposal to give priority to shippers and consignees who use NVOCCs with respect to seeking redress against a NVOCC surety bond.

Tropical also has substantial questions as to where the Commission would derive subject matter jurisdiction to establish a system of priorities to assert claims against the surety bonds. The ANPR appears to assume such jurisdiction, but the fact that the FMC requires OTIs to post security bonds does not appear to carry with it the power to limit who can assert claims against such bonds and in what order. Indeed, no provision of the Act (or any legislative history) supports the priority system proposed.

The Commission should keep in mind that one of the few means by which common carriers can protect their interests is to assert liens on shipments when freight or other rates and charges have not been paid. When an ocean common carrier asserts a lien on an NVOCC's shipment, frequently the ocean carrier and the FMC's consumer affairs office receive calls from the NVOCC's shipper/consignee complaining that they cannot obtain the cargo at issue. The ocean carrier's position is usually to require the shipper to pay the freight if they wish to obtain the cargo. How does the proposal to place ocean common carriers after shippers and consignees in their ability to claim against a surety bond affect this issue? Said another way, when the ocean common carriers try to protect themselves as provided by law, the FMC looks for ways to help the NVOCC's shippers/consignees, and when an ocean common carrier obtains a judgment and seeks to collect on a surety bond, the Commission proposes that the ocean common carrier wait to assure that all shipper/consignee claims are first satisfied. This appears to be illogical and grossly unfair to the ocean common carriers and cannot be justified solely because the ocean common carriers allegedly (without any citation to facts) extend too much credit to NVOCCs; credit that obviously enables the shipper's cargo to move.

How does the Commission's proposal solve the problem frequently faced by ocean common carriers where the NVOCC's shipper/consignee refuses to take delivery of a container because they no longer want the goods and the shipper abandons the cargo? Under the aforementioned scenario, the ocean common carrier is clearly left with the problem of disposing of the goods. In addition, it is often the case that abandoned cargo may be packaging materials, for example, with the name of a store on them, which has no value other than to the original consignee. Why should ocean common carriers absorb the cost of their containers being tied up and not have any redress for the costs they incur in these circumstances? These types of circumstances occur all too often and have nothing to do with alleged extensions of credit. Creditor's rights issues are extremely complex and the FMC's inserting itself into this area in a way that increases the exposure of ocean common carriers while protecting NVOCC's shippers and consignees is unjustified and unnecessary.

To make matters even more difficult, the Commission also proposes that each common carrier, marine terminal operator and financial responsibility provider who files suit or simply files a claim letter against an OTI or receives a claim against a surety bond must notify the Commission so that the FMC may post on its website the fact that such action has been filed. The proposed regulation states as follows:

Section 515.23(e) establishes requirements for common carriers, marine terminal operators and financial responsibility providers (pursuant to the terms of the financial instrument forms contained in the ANPR) to submit notice to BCL of court actions or claims filed or claims received (in the case of the providers). Those notices of court actions and claims will be published on the Commission's website for information purposes only. The notices would not be intended to indicate the merits or outcome of such actions or to indicate violations of the Shipping Act, the Commission's regulations or any other statute or regulation. For example, the general notices will provide shippers with timely information relevant to other parties' commercial experience with a particular OTI, whether or not a shipper pursues a claim of its own in court or with the financial responsibility provider.

As the FMC notes, this new requirement is not based in any way on whether the action has any merit or substance and notably, the FMC places no obligation to provide such notices upon shippers. The proposed rule is therefore only likely to cause a spate of suits on the surety bonds of specific NVOCCs that may well be unjustified and damaging to the NVOCCs and which could at the same time take away the security of the carriers that actually transport their shipments.

Effectively, the Commission is proposing a rule that has no factual or legal support and which would place Tropical and other ocean common carriers in a secondary position with respect to claims against surety bonds. The Commission then "doubles down" on the subject by seeking to compel any common carriers, marine terminal operators and financial responsibility providers who initiate a court action against an OTI or make a claim against a provider or its surety bond to notify the FMC so that its action can be posted on the Commission's website thereby serving as an invitation to third parties to make claims against the bond. The result of the foregoing would be, of course, to spur any shipper/consignee claimants to seek immediate recourse and race to make a claim.

In summary, the proposal has no merit. It imposes unnecessary regulatory hurdles and expenses on common carriers, marine terminal operators and financial responsibility providers that are not authorized by the Shipping Act and that would only serve to unjustifiably undermine the common carrier's ability to make a claim against the surety bond of an OTI.

Section 515.27

Tropical objects to the proposal in the ANPR that would place on ocean common carriers the burden to determine whether a shipper may be an un-tariffed or un-bonded OTI.

The ANPR proposes the following regulation:

§ 515.27 Proof of compliance - NVOCC

- (a) No common carrier shall knowingly and willfully transport cargo for the account of an NVOCC unless the carrier has determined that the NVOCC has a license or registration, a tariff, and financial responsibility as required by sections 8 (46 U.S.C. 40501 - 40503) and 19 (46 U.S.C. 40901-40904) of the Shipping Act and this part.
- (b) A common carrier can obtain proof of an NVOCC's compliance with the tariff and financial responsibility requirements by:
 - (1) Reviewing a copy of the tariff published by the NVOCC and in effect under part 520 of this chapter;
 - (2) Consulting the Commission's website, www.fmc.gov, as provided in paragraph (d) below, to verify that the NVOCC has filed evidence of its financial responsibility; or
 - (3) Any other appropriate procedure, provided that such procedure is set forth in the carrier's tariff. (ANPR at 82-83)

Under the Act, the applicable statute reads that no common carrier, alone or in conjunction with any other person, may, *inter alia*, (as provided in 46 U.S.C. 41104 §§ (11) and (12)) (not cited in the ANPR):

“(11) knowingly and willfully accept cargo from or transport cargo for the account of an ocean transportation intermediary that does not have a tariff as required by section 40501 of this title and a bond, insurance, or other surety as required by section 40902 of this title; or

“(12) knowingly and willfully enter into a service contract with an ocean transportation intermediary that does not have a tariff as required by section 40501 of this title and a bond, insurance, or other surety as required by section 40902 of this title, or with an affiliate of such an ocean transportation intermediary.”

The proposed regulation expands the obligations set forth in the aforementioned statute by also requiring that common carriers determine whether a NVOCC is licensed by the FMC or has registered with the FMC. It would appear that if a

NVOCC has published a tariff and has posted a surety bond, that it would reasonably be the case that the NVOCC has either obtained a license or registered with the FMC because it could not otherwise publish a tariff or post a surety bond with the FMC. The Commission should not read requirements into the statute that are not in the express language of the statute.

Moreover, the statute requires that the action of the common carrier be “knowing and willful,” which means that the prohibited act is that the common carrier accepted a shipment or entered into a service contract with an un-tariffed or un-bonded NVOCC when the common carrier had actual knowledge that the shipper was in fact a NVOCC and knew that it did not have a published tariff or had not posted a surety bond with the FMC. The words “knowingly and willfully” must have some meaning.

The Commission apparently interprets the words “knowingly and willfully” as meaning that the common carrier has an affirmative duty to determine whether a shipper seeking a booking or a service contract is in fact a NVOCC and that the common carrier must then determine whether it has a published tariff and has posted the required surety bond. In fact, the FMC’s Bureau of Enforcement has collected fines from common carriers that failed to ferret out potential un-tariffed and un-bonded NVOCCs. As a result, Tropical expends significant resources in seeking to make certain that it does not do business with an un-tariffed or un-bonded OTI. This effort, however, is expensive and time consuming³.

Tropical believes that the words of the Act have a clear and specific meaning and that the FMC’s expansive reading causes Tropical and other common carriers to assume the role of policemen who must aggressively seek information from shippers that may remotely appear to look like NVOCCs but that may very well not be NVOCCs. Tropical believes that the burden should be on the shipper or NVOCC, not the ocean common carrier, to demonstrate that the NVOCC has published a tariff and posted the required surety bond. Tropical believes that this can be done by NVOCCs providing a certification or warranty and representation in a service contract to the ocean common carrier that they have published a tariff and posted the required surety bond. A common carrier could only knowingly and willfully violate the statute if there is evidence that the common carrier knew the shipper was in fact and law an NVOCC and knew that it did not publish a tariff or post a surety bond with the FMC.

In Tropical’s view, the FMC is significantly over-reaching in its interpretation of the statute and in its imposition on common carriers of the affirmative duty to

³ The Commission also apparently would require that the ocean common carrier publish in its tariff a rule as to how it would check for NVOCC tariff and surety bond compliance if its procedure is not covered by 512.27 (b) (1) and (2). Presumably, failure to file such a tariff rule would itself be a violation of the regulations and subject to penalty assessment.

determine the status of a NVOCC when the shipper does not claim (or denies) that it is an NVOCC.

Conclusion

Tropical respectfully requests that the Commission give its comments full consideration and that the FMC, if it determines to proceed to undertake a rulemaking, do so (a) without changing a common carrier's ability to seek redress through an OTI surety bond; (b) without requiring a common carrier to notify the Commission every time it files a claim with the shipper or seeks a legal solution to collect freight and other charges from a NVOCC; and (c) without additional and unnecessary burdens to make legal determinations of who is or is not a NVOCC and whether they have or should have published tariffs or posted surety bonds.

Tropical appreciates the Commission's consideration of its comments.

Respectfully submitted,

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